

IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST

REPUBLIC OF SRI LANKA

In the matter of an application under
Section 331 of the Code of Criminal
Procedure Act No. 15 of 1979 and Article
139 (2) of the Constitution of the
Republic of Sri Lanka.

The Democratic Socialist Republic of Sri
Lanka

Complainant

Vs

Court of Appeal Case No:
CA/HCC/0081/2018

Provincial High Court of Colombo
Case No: **HC 5793/2011**

Liyana Arachchige Manoj Bimsara
Dissanayake

Accused

AND BETWEEN

Liyana Arachchige Manoj Bimsara
Dissanayake

Accused-Appellant

Vs

Hon. Attorney General,
Attorney General's Department,
Colombo 12.

Complainant-Respondent

NOW BETWEEN

Liyana Arachchige Manoj Bimsara
Dissanayake
No. 825, Singhapura,
Pelawatta,
Battaramulla.

Accused-Appellant-Petitioner

Vs

Hon. Attorney General,
Attorney General's Department,
Colombo 12.

Respondent- Respondent

Before : **P. Kumararatnam, J.**

Pradeep Hettiarachchi, J.

Counsel : A.S.M. Perera, PC, with Chaturika Witharana for the Accused-
Appellant.

: Asoka Weerasooriya, Chandika Peiris, Akarsha Weerasooriya for the
Aggrieved Party.

: Janaka Bandara, D.S.G for the State.

Argued on : 24.07.2026

Decided on : 18.09.2026

Pradeep Hettiarachchi, J

Judgment

1. This appeal arises from the judgment and sentence dated 18.01.2018, delivered by the learned High Court Judge of Colombo. The Accused-Appellant (hereinafter referred to as “the Appellant”) was indicted before the High Court of Colombo for committing the offence of criminal breach of trust, an offence punishable under Section 389 of the Penal Code.
2. At the conclusion of the trial, the learned High Court Judge found the Appellant guilty of the charge and convicted him accordingly. Consequently, the Appellant was sentenced to three years’ rigorous imprisonment and ordered to pay a fine of Rs. 500,000.00, with a default sentence of nine months’ imprisonment. The learned Trial Judge further ordered the Appellant to pay Rs. 9 million as compensation to PW1, with a default sentence of eighteen months’ imprisonment.
3. It is against the said conviction and sentence that the Appellant has preferred the instant appeal.
4. The Appellant has urged the following grounds of appeal;
 - a. The Accused-Appellant denied the opportunity of a fair trial in the High Court;
 - b. The Learned High Court Judge has failed to consider the legal principle of estoppel which is applicable to the main prosecution witness, in his judgment;
 - c. The Learned High Court Judge has misdirected himself regarding the principles embodied in Chapter vii of the Evidence Ordinance, especially Section 93 of the said Ordinance; and
 - d. The Learned High Court Judge has failed to apply the test of probability to the stand taken by the main prosecution witness that the Accused-Appellant, being an Attorney-at-Law of a relatively long standing, will devote his time to projects without remuneration for a period of two years only on reimbursement of expenses.
5. The amount involved in the charge of criminal breach of trust was **AUD 108,500.00**. The prosecution case is that the said amount was credited to **NRFC Account No.**

9393462 for the purpose of investing in Hakwatuna Oya Resorts Pvt Ltd. It is alleged that the Appellant thereafter dishonestly misappropriated or converted the said funds to his own use, in violation of the terms of the express or implied legal arrangement between the Appellant and PW1.

6. At the trial, 11 witnesses testified for the prosecution. The Appellant made a dock statement and did not call any witness to testify.
7. The Appellant has maintained that the monies in question were received by him as professional fees for the services rendered by him to the said company and, accordingly, contends that he was entitled to utilize those monies at his discretion.
8. The principal contention advanced by the Appellant was that the Accused-Appellant, being an Attorney-at-Law of a relatively long standing, would devote his time to projects without remuneration for a period of two years only on reimbursement of expenses. So, his argument was that such monies were used as his professional fee for the services he provided for the said company.
9. Section 388 of the Penal Code provides for the offence of criminal breach of trust.
10. Section 388 of the Penal Code reads as follows:

Whoever, being in any manner entrusted with property, or with any dominion over property, dishonestly misappropriates or converts to his own use that property, or dishonestly uses or disposes of that property in violation of any direction of law prescribing the mode in which such trust is to be discharged, or of any legal contract, express or implied, which he has made touching the discharge of such trust, or willfully suffers any other person so to do, commits 'criminal breach of trust.'

11. In this regard, it would be appropriate to consider the ingredients necessary to prove criminal breach of trust as follows;
 - a. Entrustment with property or dominion over property, and either
 - b. (i). Dishonest misappropriation or conversion to his own use, or

- (ii). Dishonest use or disposal, or
- (iii). Willfully suffering any other to do b (i) or b (ii)

12. Those being the ingredients necessary to prove the offence of criminal breach of trust, the entrustment of property is undisputed as per the prosecution witnesses.
13. PW1, Nihal Pallege Nanayakkara, was the first witness to testify for the prosecution. He is a consultant physician who, after working at several hospitals in Sri Lanka, migrated to Australia with his wife. According to his evidence, he subsequently formed an intention to invest in a hotel resort project in Sri Lanka. While working in Sri Lanka, PW1 became acquainted with one Sumathipala Kariyawasam, a bank employee, and subsequently came to know the Accused-Appellant through him.
14. Following several discussions concerning the proposed investment, PW1 decided to name the proposed hotel “Hakwatuna Oya Resorts.” He thereafter caused the business to be incorporated as a company under the name of ‘Hakwatuna Oya Resorts Pvt Ltd,’ with himself and his wife being registered as its directors. PW1 further appointed Sumathipala Kariyawasam and the Accused-Appellant as alternative directors of the said company. In addition, PW1 established another company under the name “Nilaweli Beach Resorts and Spa,” in which he and his wife were appointed as directors, while other persons were appointed as alternative directors.
15. In furtherance of the proposed hotel project, PW1, on several occasions, remitted funds from his wife’s account maintained at the Australian ANZ Bank to his NRFC Account maintained at the People’s Bank in Sri Lanka. At the request of the Accused-Appellant and Kariyawasam, PW1 subsequently executed a power of attorney authorizing them to operate and deal with the funds maintained in the said NRFC account for the purpose of making investments in and meeting expenses relating to the proposed hotel project.
16. By virtue of the authority conferred upon them under the said power of attorney, the Accused-Appellant and Kariyawasam thereby obtained control over the funds deposited into PW1’s NRFC account. PW1’s evidence was that he had expressly instructed them that the monies placed at their disposal were to be utilized solely for the purposes connected with the proposed hotel investment.

“ප්‍ර: ඒ කාරණය හැර, හොටෙල් ව්‍යාපෘති සඳහා මුදල් වියදම් කිරීම හැර වෙනත් කාරණා සඳහා මුදල් වියදම් කිරීමට ඔබ කිසියම් අවස්ථාවක කාර්යවසම්ට හෝ මේ විත්තිකරුට උපදෙස් දීල තිබුනද?

උ: නැහැ.

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ප්‍ර: එතොකොට ඔබ කිව්වා ඔබගේ අවබෝධය තිබුනේ ඒ මුදල් හෝටෙල් ව්‍යාපෘතිය සඳහා පමණක් වියදම් කරන්න කියල?

උ: ඔව්.” (at vide page 23 of the Appeal Brief)

17. In 2009 August or September, PW1 caused Sumathipala Kariyawasam to resign from his position as an alternative director of the said company. PW1 testified that he had taken this step upon discovering that Kariyawasam had, by utilizing the authority conferred upon him under the power of attorney, dealt with or appropriated assets amounting to approximately 10% of PW1's estate and that irregularities and other malpractices had occurred in the affairs of the company. Thereafter, PW1 caused audits to be conducted in respect of all his business entities and appointed one Gothama Hewawitharana (PW2) as the new alternative director of the company.
18. Following his resignation as an alternative director, Kariyawasam ceased to have any further involvement in or dealings with Hakwatuna Oya Resorts Pvt Ltd.
19. According to the testimony of PW1, the land intended for the Hakwatuna Oya Resorts project was acquired in two separate transactions. The first portion, comprising approximately one-half of the land, was purchased in the early part of 2009 for a sum of Rs. 6 million, during the period in which Kariyawasam was associated with the company. The remaining portion was subsequently purchased after PW2 had assumed the position of alternative director.
20. It is significant that, according to PW1, he had not made any payments to either the Accused-Appellant or PW2 by way of salary or professional fees. Further, PW1 testified that there was no agreement or other arrangement between himself and the Accused-Appellant pursuant to which the latter was entitled to receive any such payment.

“ප්‍ර: ඒ ඇරෙන්න ඔබ ගේනම හේවාචාරණ සමග හෝ මේ විත්තිකරු වන මනෝජ් දිසානායකට යම්කිසි පඩියක් දීමේ එකඟත්වක් තිබුනද?

උ: නැහැ.

ප්‍ර: ඔවුන් කල සේවාව වෙනුවෙන් වෙන් වෙන් වශයෙන් මුදල් ගෙවීමේ එකඟත්වක් තිබුනද?

උ: නැත.

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ප්‍ර: නානායක්කාර මහතා කිසිම අවස්ථාවක මෙම මනෝජ් දිසානායක කියන විත්තිකරු මේ සමාගමේ උපදේශක සේවාවක් හැටියට මුදල් ගෙවීමේ එකඟත්වක් තිබුනද?

උ: නැහැ.” (at vide pages 16-17 of the Appeal Brief)

21. Contrary to the foregoing, however, there was an agreement between PW1, the Accused-Appellant, and PW2 whereby the Accused-Appellant and PW2 were to be entitled to 7% and 3%, respectively, of the shares of the hotel project. According to the said arrangement, such shares were to be granted in consideration of their undertaking to attend to and supervise all matters relating to the construction of the hotel, and for no other purpose.
22. The office of Hakwatuna Oya Resorts Pvt Ltd. was situated at an address in Colombo 5, and the monthly rental in respect of the premises was paid by PW1. Further, at the request of the Accused-Appellant, PW1's funds were utilized for the purchase of a Prado vehicle. The Company also employed two workers, whose salaries were paid out of the funds of the company.
23. There were also instances in which PW1, at the request of the Accused-Appellant, deposited monies into the personal bank accounts of the Accused-Appellant and PW2. According to PW1, such monies were remitted strictly for the purpose of being utilized in connection with the hotel investment. PW1 further testified that the Accused-Appellant had informed him that, if a 7% share in the project were transferred to them, a tax of 7% would become payable. Accordingly, instead of transferring the said 7% share, PW1 was requested to deposit the relevant monies into their personal bank accounts for the purpose of investment in the hotel project.

24. PW1 further testified that, following the withdrawal of Kariyawasam from the affairs of the company, both the Accused-Appellant and PW2 were authorized to withdraw monies from PW1's personal account maintained at the People's Bank, Subject to a limit of Rs. 200,000.
25. PW1 categorically testified that, on five separate occasions, he deposited a total sum of AUD 108,500 into the personal bank account of the Accused-Appellant. He further testified that a sum of AUD 46,500 was deposited into the personal bank account of PW2 for the purpose of investing in the said hotel project.
26. PW1 further testified that he received five vouchers in respect of these transactions and that, on each occasion, he signed the relevant voucher and forwarded it to the Accused-Appellant. At a subsequent stage, PW2 informed PW1 that the Accused-Appellant had prevented him from entering the office premises and from attending to the work relating to the company.
27. In those circumstances, PW1 requested an audit be conducted into the affairs of the company and that a meeting be convened on 19.10.2010. The Accused-Appellant, however, did not attend the said meeting. Thereafter, PW1, together with his wife, PW2, PW5, and two other Attorneys-at-Law, attempted to enter the office premises. PW1 testified that the Accused-Appellant prevented them from entering the premises. Consequently, PW1 lodged a complaint with the Criminal Investigation Department (CID) in relation to the incident.
28. During cross-examination, the defence failed to mark any material contradiction or omission in the evidence of PW1. On the contrary, PW1 remained consistent in his testimony throughout the trial and maintained the same account of the sequence of events.
29. It is significant that PW1 had reposed a considerable degree of trust and confidence in the Accused-Appellant. The evidence of PW1 was that such trust was dishonestly abused by the Accused-Appellant for his own benefit.

“ප්‍ර: ඒ එවන ලද කාරණයක් එහි සඳහන් වෙලා නැහැ?”

උ: කරණය 7% මිල මුළු ප්‍රමාණය 7% මිල ආපහු කම්පනියට දන්නා එවිට. ඉතින් ඒක මුල ඉදලා ඔය බෝඩ් මිටින් ඒක දවසේ ඉදලම මුල ඉදලම හදල තියෙන්න සල්ලි ගන්න වුවමනාවෙන් කරලා තියෙන්නේ. ඉතින් මන් කොහොමද ඕව දන්නේ. මම හිතුවා මේ විස්වාශ කරන්න ඕන කියල. මට කිව්වේ ලොයර්ස්ලට අඩවයිස් කරන එක්කෙනෙක්. ලන්ඩන්වල එම්.ඒ. කරපු එක්කෙනෙක්, හියුමන් රයිට්ස් ලොයර් කෙනෙක් කියල මට කිව්වේ. ඉතින් මම ඊට වැඩිය මොකක්ද මනුස්සයෙක්ගෙන් බලාපොරුත්තු වෙන්නේ.” (at vide page 164 of the Appeal Brief)

30. The next material witness called on behalf of the prosecution was PW5, a Chartered Accountant. According to his evidence, PW5 initially acted as an income tax consultant to PW1 and subsequently undertook auditing work in respect of PW1's land.
31. Thereafter, by letter dated 04.09.2009, PW1 appointed PW5 as the auditor of Hakwatuna Oya Resorts Pvt Ltd for the purpose of conducting an audit of the affairs of the company. According to the evidence of PW5, the audit was undertaken following the emergence of certain issues between the alternative directors of the company, and the appointment was made at the request of the Accused-Appellant.
32. During the course of the said audit, PW5 discovered certain irregularities and malpractices on the part of Kariyawasam. It was further revealed that the accounts of the company had not been properly maintained and that certain vouchers had not been duly signed. Following these findings, Kariyawasam agreed to repay to PW1 a sum of Rs. 2,4725,000/- in respect of the monies alleged to have been misappropriated. Accordingly, upon the completion of the preliminary audit conducted by PW5, Kariyawasam repaid the said sum to PW1. Thereafter, at the request of PW1, Kariyawasam resigned from his position as an alternative director of the company.
33. Following the resignation of Kariyawasam, PW1 entrusted the Accused-Appellant with the responsibility of attending to the affairs and tasks relating to the next stage of the hotel project. At the same time, PW1 appointed PW2 as a new alternative director of the said company, alongside the Accused-Appellant.

34. Accordingly, the Accused-Appellant and PW2 entered into an agreement whereby PW2 was to attend to the financial transactions of the company, under the supervision and oversight of the Accused-Appellant. It was further agreed that the Accused-Appellant and PW2 would be entitled, collectively, to 10% of the profits arising from the hotel project.

“ප්‍ර: දැන් විත්තිකරු විසින් කරන ලද සේවාව වෙනුවෙන් ඔහුට යම්කිසි මුදලක් ගෙවීමට පොරොන්දු වෙලා තිබුනද මහත්මයාගේ දැනුම හැටියට?

උ: මගේ දැනුමේ හැටියට සහ ඩොක්ටර් නිහාල් නානායක්කාර මට පවසල තියෙන විදියට වැටුප් ගෙවීමක් සම්බන්ධයෙන් දැනුම් දීමක් කරලා නැහැ. ඒ සඳහා ඒ ව්‍යාපෘති වලට මුදල් උඔදවන ඇත්තන්ට පොරොන්දු වෙලා තියෙන්නේ එම සමාගමේ කොටස් ලබා දීම. ඔය ව්‍යාපෘතියේ සෑම පිරිවයකින්ම ආයෝජනයෙන් 10% ක ප්‍රමාණයක් කොටස් ලබා දීම පොරොන්දු වෙලා තියෙන්නේ.

ප්‍ර: ඒ කොටස් ලබා දීම ඒ කියන්නේ කොයි ආකාරයටද ගෙවීමට සලස්වා තිබුනේ ගරු අධිකරණයට කියන්න?

උ: කොටස් වලින් 10% ක ප්‍රමාණයෙන් 7% ක ප්‍රමාණයක් බිම්සර දිසානායක මහතාටත්, 3% ක ප්‍රමාණයක් ගෝතම හේවාචිතාරණ ලබා දීමටයි එකග වී තියෙන්නේ.

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උ: එම මුදල් කොටස් ලබා දීමට පොරොන්දු වෙලා තියෙනවා ව්‍යාපෘතිය ආරම්භ කරලා අවුරුදු දෙකක කාල සීමාවක් ඇතුලත එනම් 2010 ජනවාරි 01 වැනිදා සිට 2012.01.01 වැනිදා පැහැදිලි කරනවා නම් 2010 අවුරුද්දත්, 2011 අවුරුද්දත් අතර අවුරුදු දෙක. ඒ කාලය 10%ක කොටස් වලින් 7%ක් එනම් 5% මනෝජ් බිම්සර දිසානායක මහතාටත්, 2% ක් ගෝතම හේවාචිතාරණ මහතාටත් ලබා දීමටයි. එම ව්‍යාපෘති වල සම්පූර්ණ කළ පසු අවුරුදු දෙකකට පස්සේ 2% මනෝජ් බිම්සර දිසානායක මහතාටත්, 1%ක ගෝතම හේවාචිතාරණ මහතාටත් ලබා දීමට.” (at vide pages 239-240 of the Appeal Brief)

35. According to the testimony of PW5, a new office was provided for the conduct of the affairs of the hotel project at premises situated in Colombo 05, and the expenses incurred in maintaining the said office were borne by Hakwatuna Oya Resorts Pvt Ltd. PW5 further testified that there was no agreement or arrangement for the payment of salaries to either the Accused-Appellant or PW2.

36. During the secondary stage of the hotel project, certain disputes arose between the Accused-Appellant and PW2. In consequence of the said dispute, PW1 requested PW5 to inquire into the matter in issue. Accordingly, PW5 convened a meeting at his office, which was attended by the Accused-Appellant.
37. PW5 subsequently convened a further meeting on 19.10.2010, with PW1 also being present. The Accused-Appellant, however, failed to attend the said meeting. Consequently, on the same day, PW1, his wife, PW5, PW2, and two other Attorneys-at-Law decided to proceed to the office of the hotel project situated in Colombo.
38. Upon their arrival, they found the office to be closed, although a person was seen to be inside the premises. Thereafter, they arranged for a security guard to be stationed at the premises and left the location. Subsequently, upon PW1 being informed that officers of the STF were causing difficulties to the security guard stationed at the said office, PW1 returned to the premises.
39. Prior to proceeding to the said office, PW1 and PW2 lodged a complaint with the Narahenpita Police. Upon arriving at the office, PW1 was denied access to the premises. Consequently, PW1 lodged a further complaint with the CID in respect of the said incident. Thereafter, the Accused-Appellant handed over to PW1 the relevant documents and belongings in his possession and ceased to be involved in the affairs of the company.
40. PW5 further testified that he prepared an audit report in respect of Hakwatuna Oya Holiday Reports Private Limited, covering the period from 01.04.2009 to 19.10.2010. The said audit report, dated 09.12.2010, was marked in evidence as P12.
41. According to the said audit report, the following matters were revealed;
- a. Hakwatuna Oya Holiday Reports Private Limited received funds in four principal sources, namely, monies directly invested in the company by PW1, monies invested through the Accused-Appellant, monies invested through PW2, and Monies transferred from other companies belonging to PW1.

- b. The aforesaid monies were invested in the company during the period from 01.09.2009 to 31.03.2010.
- c. The left-hand side of the audit report sets out the monies received by the company, while the right-hand side reflects the expenditure incurred by the company.
- d. The audit further disclosed certain discrepancies in the invoices submitted by the Accused-Appellant to PW1. In particular, it was observed that some of the invoices appeared to have been prepared after the relevant documents had already been signed.
- e. It was also revealed that invoices had been issued in the name of Nilaweli Beach Resorts and Spa (Private) Limited, although that company had not engaged in any financial transactions at the relevant time and had merely been incorporated without commencing any substantive financial activities.
- f. PW1 had remitted a total sum of AUD 108,500 to the Accused-Appellant, while a sum of AUD 49,500 had been remitted to PW2.
- g. According to the evidence, PW1 had remitted these monies to the personal bank accounts of the Accused-Appellant and PW2, at the request of the Accused-Appellant, for the purpose of investing the same in the company. The reason given for adopting this method of remittance was that, if the monies were transferred directly to the company, tax would have to be paid in relation to the agreed profit entitlement.
- h. Out of the monies received by PW2, a sum of Rs. 1,850,000 was handed over to the Accused-Appellant for the purpose of purchasing the second half of the land for Hakwatuna Oya Reports Pvt Ltd. The balance of the monies received by PW2 was thereafter paid to the company.
- i. The audit revealed that the Accused-Appellant had not accounted for or settled the aforesaid sum received by him for the purchase of the land.
- j. According to the agreement and board decisions of the company, the Accused-Appellant and PW2 were collectively entitled to 10% of the profits arising from the project, in consideration of the services rendered by them to the company. During the period from 2010 to 2012, the Accused-Appellant was entitled to a 5% share, while PW2 was entitled to a 2% share. The remaining entitlement was to be paid upon completion of the project; the payments in respect of such entitlements were to commence from 01.01.2010. The total investment of the

project, out of which 5% was entitled by the Accused-Appellant during the period of 2010-2012, and PW2 was entitled to 2% during the same period. The remaining balance should be paid at the completion of the project for the services done to the said company by both Accused-Appellant and PW2. The said payments should commence from 01.01.2010 onwards.

- k. It further emerged from the report that the expenses relating to the project, including the acquisition of land, the maintenance of the office premises, the purchase of a vehicle and other expenses, were borne by the company. Notwithstanding this, the Accused-Appellant obtained further monies from PW1 by submitting invoices marked V6 to V13, purportedly in respect of various expenses incurred in connection with the affairs of the company.

42. Finally, PW5 expressed the opinion, based on his examination of the relevant records, that there was no agreement or decision of the Board of Directors indicating that either the Accused-Appellant or PW2 was entitled to receive a salary for the services rendered by them to the company. Rather, the arrangement between the parties was in respect of the share entitlements referred to above.

43. PW5 further identified material discrepancies in the invoices submitted by the Accused-Appellant, particularly with regard to their dates, the amounts claimed and the charges made for individual items. He observed that the amounts charged for certain items had increased substantially within a relatively short period. PW5 also testified that invoices relating to Nilaweli Beach Resorts and Spa (Private) Limited had been submitted by the Accused-Appellant to PW1, despite that company not having been engaged in any substantive financial activities at the relevant time.

44. Furthermore, PW5 testified that the Accused-Appellant had failed to produce valid documentary evidence establishing that the monies remitted to him and PW2 had in fact been utilized for the purchase of the second half of the land intended for the hotel project. According to PW5, the absence of such supporting documentation, considered together with the discrepancies identified in the invoices and the manner in which the monies had been dealt with, raised serious concerns regarding the manner in which the Accused-Appellant had handled the funds entrusted to him by PW1.

45. The next witness called on behalf of the prosecution was PW31, who prepared the report bearing No. PVIIJCO10 concerning the valuation of the property. According to the said report, no construction had been undertaken on the land allocated for the Hakwatuna Oya Resorts project.

46. PW2 was the alternative director of the company. According to his testimony, both he and the Accused- Appellant were entitled only to shares in the company in respect of the services rendered by them. PW2 further testified that there was no agreement or arrangement pursuant to which either of them was to be paid a salary for the services provided to the company.

“ප්‍ර: යම්කිසි කෙනෙක් කියනවාම ඔබට ඔය ලැබුන ඩොලර් හතළිස්හයදාස් පන්සිය සහ මේ විත්තිකරුට ලැබුණු ඩොලර් එක්ලක්ෂ අටදාස්පන්සියක ඔබ දෙදෙනා විසින් මෙම සමාගමට සපයපු වෘත්තීමය සේවාව වෙනුවෙන් ඔබට ඒ ගැන මොකක්ද අවසාන වශයෙන් කියන්න තියෙන්නේ?”

උ: පැහැදිලිවම අපිට වෘත්තීමය ගෙවීමල් විදියට කිසිම දෙයක් ලබා දෙන්න මුල සිටම අපි සෑම අවබෝදයක් සහ එකගතාවක් තිබුනේ නැහැ. මම දන්නවා එකම එකගතාවය අපගේ ශ්‍රම දායකත්වය අප මහත්සි වන ප්‍රමාණය අනුව සමාගමේ උපරිම 7% සහ 3% උපරිමයකට යටත්ව කොටස් ලබා ගැනීමක්. කොටස් නිකුත් කිරීමක් අප වෙනුවෙන් නිකුත් කරනවා කියල. ඊට අමතරව කලින් ප්‍රකශ කර සිටි පරිදි තේ වතු දෙකකට අදාලව අප කරන සේවාව නිමිත්තෙන් අපගේ එක් ගමන් වාරයකට රුපියල් හයදාහක් හෝ පන්දාහක් වශයෙන් ගිවිසම එකග වී තිබුන වෛද්‍ය නානායක්කාර මහතා. ඊට අමතරව සියලු නවාතැන් පහසුකම් සඳහා සමාගම් ලියාපදිංචි වහනය සහ අදාල ආහාර හා ඉදුම්භිටුම් කටයුතු සඳහා සියලු මුදල් සමාගමෙන් ලබා ගන්න ලෙසට අපට අවසර දීල තිබුන.

ප්‍ර: ඒ අනුව මෙම ඉන්වොයිස් වලට අදාලව කරපු කිසිම ගෙවීමක් වෘත්තීමය උපදේශන සේවා සඳහා ගෙවපු මුදල් නෙවෙයි කියල ඔබ කියන්නේ?

උ: එහෙමයි ස්වාමීනි.” (at vide page 464 of the Appeal Brief)

47. In addition, PW1 informed the witness that the Accused-Appellant was in need of foreign currency. Accordingly, at the request of the Accused-Appellant, PW1 deposited Australian Dollars into the Accused-Appellant’s NRFC account. It was further represented that the remittance of the funds in that manner would enable the Accused-Appellant to avoid the payment of taxes.

48. Further, PW47, the wife of PW1, clearly testified that monies were remitted to the Accused-Appellant and PW2 for the purpose of acquiring shares in the company. PW47 further stated that the reason for remitting the funds in foreign currency was that the Accused-Appellant had expressed a need for foreign currency.

“ප්‍ර: දැන් ඔබ දැනගෙන හිටියද මේ මුදල් බිම්සර දිසානායකට සහ ගොනම හෙවච්ඡාරණට එව්වේ මොකටද කියල ?

උ: ඔව්.

ප්‍ර: මොකටද?

උ: ඒගොල්ලොන්ට ශේයාර්ස් ගන්න ඕන කියල. මෙව්වර ගොඩක් සල්ලි යවන කෙනෙකුට ඕනෑම වයිෆ් කෙනෙක් අහනවා නේ මොකටද මේ යවන්නේ කියල. මම ඇහුවා. එතොකොට කිව්වා ඒ ගොල්ලොන්ට ශේයාර්ස් ඉසු කරන්න ඕන මේ කලේ, එක හින්ද ශේයාර්ස්වලට ඒ සල්ලි අපහු එනව කම්පනියට, එකයි මේ සල්ලි යවන්නේ. එතොකොට මනෝජ් බිම්සර ලොරින් එක්ස්චේන්ජ්වලින් එවන්නේ එයට ලොරින් එක්ස්චේන්ජ් ඕන නිසා.

ප්‍ර: තේරුනේ නැහැ?

උ: මනෝජ්ට ලොරින් එක්ස්චේන්ජ්, විදේශීය මුදල් ඕන කියල ඒ කලේ එතොකොට අපි එහෙම එව්වේ ඒකයි. එහෙම නැත්නම් අපි මෙහෙත් ගෙවලා එයා ඒවා ශේයාර්ස්වලට දැම්මොතින් එයාට ටැක්ස් ගෙවන්න වෙනවා කියල. එතොකොට අපි බැලුව එක ටැක්ස් වලට ඒක එවොයිඩන්ස් ද ඉවේෂන් ද කියල.” (at vide pages 799 – 800 of the Appeal Brief)

49. According to the testimony of PW47, the total investment contemplated for the said project was approximately Rs. 150 million. PW47 testified that she was aware of the agreed arrangement concerning the allocation of shares in the project, namely, that the Accused-Appellant was to be entitled to 7% of the total investment and PW2 to 3%.

“ප්‍ර: ඔබ ස්වාමිපුරුෂයාගෙන් අනුවච්ඡ කොපමණ ශේයාර්ස්, කොපමණ කොටස් ප්‍රමාණයක් ගන්නද මේ සල්ලි යවන්නේ කියල?

උ: ඔව්. මමත් ඉතින් ඩිරෙක්ටර් කෙනෙක් නේ. ඒක නිසා මම දැනත් හිටිය සම්පුර්ණ ආයෝජනයෙන් 7%ක් මනෝජ් දිසානායකට, 3% ගොනම හේවාච්ඡාරණට.

ප්‍ර: ඔය මුළු ආයෝජනය කොච්චර විතර මුදලක් කියලද අදහසක් තිබුනේ?

උ: ඕස්ට්‍රේලියානු ඩොලර් මිලියන 1.5 ක්

ප්‍ර: ශ්‍රී ලංකාවේ මුදලින් නම් දල වශයෙන් රුපියල් මිලියන 150 ක්?

උ: ඔව්.” (at vide page 801 of the Appeal Brief)

50. Furthermore, PW47 expressly denied that the sum of AUD 108,500 remitted to the Accused-Appellant was intended to be paid as professional fees for services rendered by him.

“ප්‍ර: අවසාන වශයෙන් නානායක්කාර මහත්මිය මට අහන්න තියෙන්නේ, යම් කිසි කෙනෙක් කියනවා නම් ඔබ ඕස්ට්‍රේලියාවේ ඉඳලා, සල්ලි එව්වේ මේ විත්තිකරයාට ඕස්ට්‍රේලියානු ඩොලර් 108500 ක මුදලක් ඔහු විසින් අර අංක 501 න් පටන් අරගෙන යන විදියට එවපු ඉන්වොයිස් පත්‍ර 08 ට අදාල, කරපු ඔබ සහ ඔබගේ පවුලේ දේපල වෙනුවෙන් කරපු වෘත්තීමය සේවා සැපයීම වලටයි කියල ඔබ ඒක පිළිගන්නවද?

උ: කොහෙන්ම පිළිගන්නේ නෑ. ඒක ඇබ්නෝමල් හිගර් එකක්.” (at vide page 806 of the Appeal Brief)

51. PW47 further testified that PW1 and his family had placed considerable trust and confidence in the Accused-Appellant and, on the strength of that trust, entrusted substantial sums of money and their property to his care.

“ප්‍ර: මට අවසාන වශයෙන් එකක් කියන්න පුළුවන් ද නානායක්කාර මහත්මිය, ඔව්වර ලොකු මුදලක් මේ විත්තිකරයා කියන කොටම් මට ටැක්ස් ගෙවන්නේ නැතුව ඉන්න පුළුවන් පිටරට ඉඳලා එවන කොට, ඒ නිසා මම මේ හඳුපු ව්‍යාප්ත ඉන්වොයිස් ටිකත් එවනවා එකට එවන්න මම එකෙන් සමාගමේ කොටස් ගන්නම් වගේ කියා කියන කොට මෙව්වර විශාල මුදලක්, පිටරටක ඉඳලා එවන්න ඔහු එව්වර විශ්වාස කරන්න පෙලඹුනේ ඇයි?

උ: ඒ අපේ හැටි. මම හිතන්නේ. මනෝජිට් දරුවෙක්ට වගේ සැලකුවේ. මනෝජි ලෝයර් කෙනෙක්, he is advising other lawyers ඔහු අනෙක් නීතිඥ වරුන්ටත් උපදෙස් දෙන කෙනෙක්. අපි ඕනෙම ගනුදෙනුවක් කරන්න යන කොට අපි අහන්නේ නීතිවිරෝධී ද නිත්‍යානුකූලද කියල, ඒ ඔහු නීතිය දන නිසා. අපි ඔහු කියනවා නිත්‍යානුකූලයි කියල අපි ඒක පිළිගන්නවා. එව්වරට අපි ඔහු විශ්වාස කල.” (at vide page 806 of the Appeal Brief)

52. The next material witness called on behalf of the prosecution was PW17, Assistant Manager of the Bank of Ceylon. According to his testimony, a total sum of AUD 108,500 was transferred on three occasions between 15.03.2010 and 30.03.2010 from the Shepertown Branch of ANZ Australia to the personal account of the Accused-

Appellant maintained at the Bank of Ceylon (No. 9393462). Thereafter, the Accused-Appellant transferred a sum of AUD 20,000 to another personal account maintained by him at the Bank of Ceylon of the Accused-Appellant (No. 6204630).

53. It is evident from the said transactions that, by that time, there was an overdraft facility in respect of Bank Account No. 6204630, and a portion of the monies transferred by the Accused-Appellant had been utilized to reduce the said overdraft.
54. Furthermore, the Accused-Appellant transferred a further sum of AUD 48,000 from Account No. 9393462 to another account maintained by him, bearing Account No. 70416042. Thereafter, on 16.08.2010, he withdrew a sum of Rs. 5 million from the said account and placed the said funds in five separate fixed deposits of Rs. 1 million each.
55. Accordingly, the foregoing transactions indicate that the monies entrusted by PW1 to the Accused-Appellant for the purpose of acquiring shares in Hakwatuna Oya Resorts Pvt Ltd. were, at least in part, utilized for purposes unrelated to that investment. In particular, the funds were used towards the settlement of a bank overdraft and were subsequently placed in fixed deposits in the name of the Accused-Appellant.
56. The next witness called on behalf of the prosecution was PW44, an officer of CID attached to Unit 01 of the Commercial Crimes Investigation Division. PW44 testified regarding the investigations conducted into the commercial transactions relating to the various bank accounts maintained by the Accused-Appellant at the Bank of Ceylon. His evidence, in respect of the said transactions, was consistent with and corroborated the evidence given by PW17.

“ප්‍ර: දැන්, මහත්මයා හොඳට ඒ අනුව ඔබේ විමර්ශනය දී අනාවරණය වෙමින් කරුණු අනුව අංක 9393462 කියලා කියන බිම්සර දිසානායකගේ NRFC ගිණුමට ඔස්ට්‍රේලියානු ඩොලර් එක්ලක්ෂ අටදාස් පන්සියක් 2010.03.15, 23 සහ 30 දිනවලදී තැන්පත් වූ බව තහවුරු කර ගන්නද?”

උ: එහෙමයි උතුමාණනි.

ප්‍ර: ඒ තැන්පත් වෙව්වි මුදල් වලින් විත්තිකරුගේ ඒ වන විටත් ලක්ෂ හැටපහක් පමණ තිබුණු ජංගම ගිනුමක අයිතුවකින් ලක්ෂ හතළිස්එකක පමණ මුදලක් පියවී ඇති බව අනාවරණය වුනාද?

උ: එහෙමයි.

ප්‍ර: ඒ NRFC ගිණුමේ තැන්පත් වූ එක්ලක්ෂඅටදාස් පන්සියක් වූ ඕස්ට්‍රේලියානු ඩොලර් වලින් බිම්සර දිසානායක නැමැත්තා ඔහුගේ නමින් ස්ථාවර තැන්පතු පහක් ලක්ෂ පනහක වටිනාකමට ආරම්භ කර ඇති බව අනාවරණය වුනාද?

ප්‍ර: එහෙමයි උන්තුමනි.” (at vide page 937 of the Appeal Brief)

57. Further, PW44 testified that the land acquired for the proposed Hakwatuna Oya Hotel had not been utilized for any construction or development at the relevant time. According to his evidence, the land was covered by dense jungle during the said period.

“ප්‍ර: එක මොන වගේ තත්ත්වයකද තිබුනේ ඔය ඉඩම?

උ: උතුමාණනි එම ඉඩම ඒ තිබුණු ආකාරයෙන්ම කැලෑවක් තිබුනේ.

ප්‍ර: කිසිම ගොඩනැගිල්ලක් ඉදිකිරීමට සූදානම් කර තිබුනේ නැහැ?

උ: අත්තිවාරම් එහෙම දල තිබුනද?

ප්‍ර: නැහැ උතුමාණනි.” (at vide page 938 of the Appeal Brief)

58. Accordingly, the contention advanced by the Accused-Appellant cannot be sustained when the evidence as a whole is considered. The issue is not merely whether the Accused-Appellant devoted his time and professional expertise to the project without receiving a conventional salary. Rather, the material question is the nature and purpose of the monies entrusted to him and whether he was entitled to deal with those monies as his own.

59. The evidence establishes that the Accused-Appellant engaged in the project pursuant to an arrangement whereby he was to be entitled to a 7% share in the company in consideration of the services rendered by him. However, there is no agreement providing for the payment of a salary or professional fees to the Accused-Appellant for such services. On the contrary, the evidence was that the expenses and incidental costs incurred by him in connection with the project were to be borne by the Hakwatuna Oya company until the completion of the project.

60. It is also significant that the 8 invoices relied upon by the Accused-Appellant do not exclusively relate to Hakwatuna Oya Resorts Pvt Ltd. Certain invoices were issued in relation to Nilaweli Beach Resorts and Spa Pvt Ltd, notwithstanding the evidence that the latter company had not commenced substantive financial transactions or activities at the relevant time. These circumstances materially undermine the proposition that the monies paid pursuant to those invoices represented genuine professional fees for services rendered to Hakwatuna Oya Resorts Pvt Ltd.
61. Furthermore, the evidence regarding the actual movement and subsequent utilization of the monies is inconsistent with the assertion that the entire amount of AUD 108,500 was paid to the Accused-Appellant as professional remuneration. The evidence demonstrates that the monies were entrusted to him in connection with the investment in the hotel project and the acquisition of his agreed 7% shares in the company. However, portions of those funds were subsequently transferred between his personal accounts, utilized towards the settlement of a bank overdraft, and placed in fixed deposits.
62. Accordingly, the aforesaid contention of the Accused-Appellant is devoid of merit and cannot be sustained on the evidence. The totality of the evidence establishes the nature and purpose of the monies entrusted to the Accused-Appellant and does not support the assertion that the said monies were paid to him as professional fees. Therefore, the said ground of appeal must necessarily fail.
63. In this regard, the following authorities further elaborate the essential ingredients required to establish the offence of criminal breach of trust;
64. In *Attorney General Vs. Dewapriya Walgamage and Another (1990) 2 Sri. L.R. 212*, held that;

“If the initial taking could be only an irregularity of procedure or would not constitute theft or cheating, the accused could be found guilty of criminal misappropriation or criminal breach of trust. The correct test is to ascertain whether the accused is guilty of another offence such as cheating or theft at the time of the initial taking.”

“I have already held that the evidence in the case does not in any way warrant an inference that the accused was guilty of the offence of cheating at the time of the initial taking of the property. In these circumstances I see no merit in the submissions made by Counsel for the Accused-Appellant. I accordingly uphold the conviction of the Accused-Appellant.”

65. In ***Basnayake Vs. Officer-in-Charge of Special Crimes Detection Unit, Anuradhapura (1988) 2 Sri. L.R. 50***, held that;

“The inference of dishonest misappropriation or conversion is an essential ingredient of the offence under Section 391 of the Penal Code.”

66. In ***Kalyanaratne Vs. Gunadasa 40 NLR 44***, held that;

“It is submitted on behalf of the appellant that his liability is civil only since he received the Rs. 5, if he did receive it, by virtue of the promissory note which was made out to him, and Gunadasa was liable in law to discharge his obligation to the appellant, and the appellant only, who thus received the money in his own legal right. But I think the terms of section 388 of the Penal Code are sufficiently wide to cover a case of this kind, and illustration (a) to this section certainly indicates one instance where the legal owner of property can commit criminal breach of trust in respect of it. If that were not so, many cases of misappropriation by servants and agents of the property for which they are bound to account to their employers would go unpunished. This case does in fact bear a sufficiency of resemblance to the King Vs. Perera, where Jayewardena A.J. upheld the conviction for criminal breach of trust of a salesman who misappropriated cheques made out in his own name by purchasers of his employer’s goods.”

67. The principles set out in the aforesaid authorities are directly applicable to the present case. The evidence establishes that the monies were entrusted to the Accused-Appellant pursuant to an agreement for a specific purpose, namely, to be utilized in connection with the investment in Hakwatuna Oya Resorts (Pvt) Ltd and the acquisition of his agreed 7% shares in the project. The Accused-Appellant was therefore not placed in possession of the monies with unrestricted right to deal with them as his own. His

obligation was to utilize the funds in accordance with the arrangement between the parties.

68. The evidence, however, demonstrates a departure from that agreed purpose. Instead of applying the monies towards the intended investment, the Accused-Appellant transferred substantial sums between his personal bank accounts, utilized part of the funds to settle a personal bank overdraft and subsequently placed monies in fixed deposits. These transactions cannot reasonably be regarded as acts done in furtherance of the investment for which the funds had been entrusted and thereby breached the arrangement pursuant to which the monies had been entrusted to him.
69. In these circumstances, the subsequent use of the entrusted funds for his own financial affairs cannot be justified merely by referring to the services he had rendered to the company as contended by the Appellant. As recognized in the aforesaid authorities, even where a person asserts a personal right or interest in property, criminal breach of trust may arise where the property was entrusted to him for a particular purpose and he dishonestly deals with it otherwise.
70. The circumstances therefore provide a sufficient basis for the inference of dishonest misappropriation or conversion required for the offence of criminal breach of trust. The authorities cited above, when applied to the facts of the present case, support the conclusion that the Accused-Appellant dishonestly converted monies entrusted to him for his own use.
71. Moreover, it is relevant to note that, on 27.04.2022, the Appellant made an application to this Court under Section 351(a) of the Code of Criminal Procedure Act, seeking to adduce as fresh evidence an audit report marked A1. The said report had originally been produced by the same virtual complainant in the District Court Case No. DMR 876/2013.
72. By order dated 26.01.2026, this Court allowed the application and admitted the said audit report into the record as fresh evidence. Relying upon the contents of A1, the Appellant has sought to challenge the evidentiary value of the audit report dated 09.12.20210, marked P12, which relates to Hakwatuna Oya Resorts Pvt Ltd. It is

contended that P12 covered only a period of approximately 6 months and 19 days and is therefore incomplete, whereas A1 purportedly constituted the audit report covering the company's full financial year. The Appellant further contended that the learned High Court Judge placed substantial reliance upon P12, particularly upon its purported finding that the sum of AUD 108,500 remained unsettled or unaccounted for by the Appellant. However, it is contended that no corresponding entry appears in A1 indicating that the said sum was unaccounted for.

73. On that basis, the Appellant contended that the prosecution, despite the alleged availability of A1, failed to produce the said report during the High Court trial. The Appellant therefore contended that the non-production of A1 ought to give rise to an adverse inference against the prosecution pursuant to Section 114(f) of the Evidence Ordinance, particularly since, according to the Appellant, the contents of A1 materially differ from the matters relied upon in P12.
74. It is pertinent to observe, however, that the prosecution case did not rest upon either the audit report marked P12 or the audit report subsequently admitted as fresh evidence and marked A1. The conviction of the Appellant was not founded upon the alleged finding in P12 that the sum of AUD 108,500 remained unsettled and uncounted for. The fact that P12 covered a limited period, and the Appellant's contention that A1 constituted a subsequent and more comprehensive audit, therefore, does not by itself affect the essential foundation of the prosecution case. Moreover, as the author of A1, namely PW5, is deceased and was consequently unavailable to give evidence regarding the preparation and contents of the said report, the evidentiary significance that may properly be attached to A1 must also be considered in that context.
75. More importantly, the evidence of the prosecution witness independently establishes that the sum of AUD 108,500 was remitted to and deposited in the personal bank account of the Appellant. The evidence further establishes the purpose for which those monies were entrusted to him, namely to be utilized in connection with the investment in Hakwatuna Oya Resorts Pvt Ltd., in accordance with the arrangement between the parties. This evidence does not depend upon the findings contained in P12.

76. In this regard, there is no evidence of any agreement pursuant to which the Appellant was entitled to receive the said AUD 10,50 as salary or professional fees. On the contrary, the evidence establishes that his entitlement under the arrangement between the parties was in respect of the agreed share in the project, while the expenses and incidental costs relating to the project were to be borne by the company. Then, the subsequent utilization of the monies for his own financial purposes must therefore be considered against the specific purpose for which the funds had been entrusted to him.
77. Accordingly, the non-production of the audit report marked A1 and its contents do not affect the evidence establishing the entrustment of the monies to the Accused-Appellant. Since the prosecution case is supported by the testimonies of the prosecution witnesses and other documentary evidence independently of P12, the reliance placed by the Appellant on A1 does not create any reasonable doubt as to the finding of dishonest misappropriation of the said monies by the learned High Court Judge. The said contention advanced by the Appellant is therefore devoid of merit and must fail.
78. Further, the Accused-Appellant has argued that he was denied a fair trial before the High Court. However, the proceedings recorded in the High Court do not support such a contention. The trial commenced in November 2013 and continued until January 2018, during which period the Accused-Appellant was represented by several counsel at different stages of the proceedings.
79. It is further apparent that, at a certain stage, the Accused-Appellant, being himself an Attorney-at-Law, elected to conduct the case personally. The learned High Court Judge nevertheless afforded him the same facilities and opportunities that would ordinarily have been extended to a counsel appearing for the defence. Moreover, when the Accused-Appellant sought an adjournment in order to obtain the assistance of senior counsel, the learned High Court Judge acceded to his request. Significantly, when the matter was thereafter taken up for the defence case, the Accused-Appellant was once again represented by Counsel of his choice.

80. In *Attorney General Vs. Segulebbe Latheef and Another*, (2008) 1 S.L.R. 225, J.A.N. De Silva, J., held that,

“The right of an accused person to a fair trial is recognized in all the criminal justice systems in the civilized world. Its denial is generally proof enough that justice is denied.”

“Like the concept of fairness, a fair trial is also not capable of a clear definition. The right to a fair trial amongst other things includes the following;

- i. The equality of all persons before the court.*
- ii. A fair and public hearing by a competent, independent and impartial court/tribunal established by law.*
- iii. Presumption of innocence until guilt is proven according to law.*
- iv. The right of an accused person to be informed or promptly and in detail in a language he understands of the nature and cause of the charge against him.*
- v. The right of an accused to have time and facilities for preparation for the trial.*
- vi. The right to have a counsel and to communicate with him.*
- vii. The right of an accused to be tried without much delay.*
- viii. The right of an accused to be tried in his presence and to defend himself or through counsel.*
- ix. The accused has a right to be informed of his rights.*
- x. If the accused is in indigent circumstances to provide legal assistance without any charge from the accused.*
- xi. The right of an accused to examine or have examined the witnesses against him and to obtain the evidence and examination of witnesses on his behalf under the same conditions as witnesses against him.*
- xii. If the accused cannot understand or speak the language in which proceedings are conducted to have the assistance of an interpreter.*
- xiii. The right of an accused not to be compelled to testify against himself or to confess guilty.*

81. In these circumstances, the High Court proceedings demonstrate that the Accused-Appellant was afforded adequate and repeated opportunities to obtain legal

representation and to present his defence, and there is no basis to conclude that he was deprived of a fair trial or that any prejudice was caused to him in the conduct of the proceedings.

82. In view of the foregoing analysis of the grounds of appeal and the impugned judgment, I find no reason to interfere with the findings of the Learned High Court Judge. Accordingly, I affirm the conviction and sentence imposed by the Learned Trial Judge. Consequently, the appeal is dismissed.

83. Considering all the circumstances, I order the sentence imposed on the Appellant to be operative from the date of conviction, namely, 18.01.2018.

Judge of the Court of Appeal

P. Kumararatnam, J.

I agree,

Judge of the Court of Appeal